



United Kingdom Savings Vehicles

Individual Savings Accounts (ISAs)

You can save tax-free with Individual Savings Accounts (ISAs).

There are 4 types of ISA:

- cash ISAs
- stocks and shares ISAs
- innovative finance ISAs
- Lifetime ISAs

You can put money into one of each kind of ISA each tax year.

Who can open an ISA

You must be:

- 16 or over for a cash ISA
- 18 or over for a stocks and shares or innovative finance ISA
- 18 or over but under 40 for a Lifetime ISA

You must also be either:

- resident in the UK
- a Crown servant (for example diplomatic or overseas civil service) or their spouse or civil partner if you do not live in the UK

You cannot hold an ISA with or on behalf of someone else.

You can get a Junior ISA for children under 18.

Opening and managing an ISA for someone who lacks the mental capacity to do this for themselves

A close friend or relative can apply to the Court of Protection (COP) for a financial deputyship order to open and manage an ISA for someone who cannot do this for themselves.

In Scotland, applications need to be made to the Office of the Public Guardian in Scotland.

In Northern Ireland, applications need to be made to the Office of Care and Protection.





How ISAs work

There are 4 types of Individual Savings Accounts (ISA):

- cash ISA
- stocks and shares ISA
- innovative finance ISA
- Lifetime ISA

You do not pay tax on:

- interest on cash in an ISA
- income or capital gains from investments in an ISA

If you complete a tax return, you do not need to declare any ISA interest, income or capital gains on it.

Putting money into an ISA

Every tax year you can put money into one of each kind of ISA. The tax year runs from 6 April to 5 April.

You can save up to £20,000 in one type of account or split the allowance across some or all of the other types.

You can only pay £4,000 into your Lifetime ISA in a tax year.

Example

You could save £15,000 in a cash ISA, £2,000 in a stocks and shares ISA and £3,000 in an innovative finance ISA in one tax year.

Example

You could save £11,000 in a cash ISA, £2,000 in a stocks and shares ISA, £3,000 in an innovative finance ISA and £4,000 in a Lifetime ISA in one tax year.

Your ISAs will not close when the tax year finishes. You'll keep your savings on a tax-free basis for as long as you keep the money in your ISA accounts.

What you can include in your ISAs

Cash ISAs can include:

- savings in bank and building society accounts
- some National Savings and Investments products

Stocks and shares ISAs can include:

- shares in companies
- unit trusts and investment funds



- corporate bonds
- government bonds

You cannot transfer any non-ISA shares you already own into an ISA unless they're from an employee share scheme.

Lifetime ISAs may include either:

- cash
- stocks and shares

Innovative finance ISAs include:

- peer-to-peer loans - loans that you give to other people or businesses without using a bank
- 'crowdfunding debentures' - investing in a business by buying its debt

You cannot transfer any peer-to-peer loans you've already made or crowdfunding debentures you already hold into an innovative finance ISA.

Withdrawing your money

You can take your money out of an Individual Savings Account (ISA) at any time, without losing any tax benefits. Check the terms of your ISA to see if there are any rules or charges for making withdrawals.

There are different rules for taking your money out of a [Lifetime ISA](#).

If your ISA is 'flexible', you can take out cash then put it back in during the same tax year without reducing your current year's allowance. Your provider can tell you if your ISA is flexible.

Example

Your allowance is £20,000 and you put £10,000 into an ISA during the 2021 to 2022 tax year. You then take out £3,000.

The amount you can now put in during the same tax year is:

- £13,000 if your ISA is flexible (the remaining allowance of £10,000 plus the £3,000 you took out)
- £10,000 if your ISA is not flexible (just the remaining allowance)

Transferring your ISA

You can transfer your Individual Savings Account (ISA) from one provider to another at any time.

You can transfer your savings to a different type of ISA or to the same type of ISA.



If you want to transfer money you've invested in an ISA during the current year, you must transfer all of it.

For money you invested in previous years, you can choose to transfer all or part of your savings.

If you transfer cash and assets from a Lifetime ISA to a different ISA before the age of 60, you'll have to pay a withdrawal fee of 25%.

Restrictions on what you can transfer

You can transfer cash from your innovative finance ISA to another provider - but you may not be able to transfer other investments from it.

Check with your provider for any restrictions they may have on transferring ISAs. They may also make you pay a charge.

How to transfer your ISA

To switch providers, contact the ISA provider you want to move to and fill out an ISA transfer form to move your account. If you withdraw the money without doing this, you will not be able to reinvest that part of your tax-free allowance again.

Deadlines and complaints

ISA transfers should take no longer than:

- 15 working days for transfers between cash ISAs
- 30 calendar days for other types of transfer

If you want to transfer investments held in an innovative finance ISA, ask your provider how long it will take.

If your transfer takes longer than it should, contact your ISA provider.

If you're unhappy with the response, you can take the matter up with the Financial Ombudsman Service.

Financial Ombudsman Service
Telephone (for landlines): 0800 023 4567
Telephone (for mobiles): 0300 123 9123
Monday to Friday, 8am to 8pm
Saturday, 9am to 1pm

If you move abroad



If you open an Individual Savings Account (ISA) in the UK then move abroad, you cannot put money into it after the tax year that you move (unless you're a Crown employee working overseas or their spouse or civil partner).

You must tell your ISA provider as soon as you stop being a UK resident.

However, you can keep your ISA open and you'll still get UK tax relief on money and investments held in it.

You can transfer an ISA to another provider even if you are not resident in the UK.

You can pay into your ISA again if you return and become a UK resident (subject to the annual ISA allowance).

If you die

Your ISA will end when either:

- your executor closes it
- the administration of your estate is completed

Otherwise, your ISA provider will close your ISA 3 years and 1 day after you die.

There will be no Income Tax or Capital Gains Tax to pay up to that date, but ISA investments will form part of your estate for Inheritance Tax purposes.

Stocks and shares ISAs

Your ISA provider can be instructed to either:

- sell the investments and pay the proceeds to the administrator or beneficiary of your estate
- transfer the investments to your surviving spouse's or civil partner's ISA - this is only possible if they have the same ISA provider as you

Check the terms and conditions of your ISA for details.

Inheriting an ISA from your spouse or civil partner

If your spouse or civil partner dies you can inherit their ISA allowance.

As well as your normal ISA allowance you can add a tax-free amount up to either:

- the value they held in their ISA when they died
- the value of their ISA when it's closed

Contact your ISA provider or the provider of your spouse or civil partner's ISA for details.



If your spouse or civil partner died from 3 December 2014 to 5 April 2018

Their ISA ended on the date of their death. ISA investments will form part of their estate for Inheritance Tax purposes.

Their ISA provider can be instructed to sell the investments and either:

- pay the proceeds to the administrator or beneficiary of their estate
- transfer the investments directly to them

You can inherit their ISA allowance. As well as your normal ISA allowance, you can add a tax-free amount up to the value they held in their ISA when they died.

Contact your ISA provider or the provider of your spouse or civil partner's ISA for details.



Pensions

Visit the Money Helper [site](#) to learn all about Pensions.

What is a University Savings Plan?

BY MOTHER & BABY |

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The University Savings plan is a plan designed to help you save for your child's higher education on a monthly basis, tax efficiently. The plan has been tailored to [help you save](#) enough money to cover the costs of university tuition fees and living expenses for your child. It also offers a unique withdrawal process that comes into place when your child is aged between 18 and 21 years old, which allows them to take the money over the course of three years to spread across their time at university, as well as the opportunity to receive annual bonuses on your invested money to boost the value of their savings.

With the maximum annual tuition fee rising to £9,000 in 2012, students now face a more financially daunting prospect when they go to university. The University Savings Plan lets you save between £100 and £200 monthly, tax efficiently with the aim of covering the cost of tuition fees as well as other essential expenses.

If you open a plan for a child and they then decide not to pursue higher education, they will of course still receive the full tax-free lump sum when they reach age 18, or after 10 years, whichever is later. This can then be used as they wish for a housing deposit, a first car or help them with the first step of their career.

Why should I choose a University Savings Plan?

As well as being a tax efficient, specifically designed plan, the University Savings Plan has many more great benefits:

- The plan will help your child deal with the escalating costs of higher education
- You can decide how much you want to save each month. You can invest regular sums of £100, £125, £150, £175 or £200 each month, up to a maximum annual investment of £2400
- The plan lets you decide whether your child receives the full lump sum when they are 18 or at the end of their university course. You also have the option of making withdrawals in stages during their course (between the ages of 18 and 21) to help with their ongoing annual costs



- If your child is ill for a period longer than four weeks and is unable to attend school or college, parents can receive tax-free benefits of up to £200 a week towards any extra costs incurred
- The plan can be opened by any family member of a child, not just their parent or guardian

Simple, straightforward investing

Unlike many other investment accounts, you may come across, you don't need to make any decisions about which funds or investments to choose with the University Savings Plan. Instead, Shepherds Friendly invests on your behalf in their With-Profits Fund and returns on the plan will depend on the performance of the fund throughout the investment period.

What does tax efficient mean?

Tax efficient savings plans are free of both income and capital gains tax, which means even more money for your child at the end of the plan. They are a long-term investment, which means there is a bigger potential for investment growth through the payment of annual bonuses.